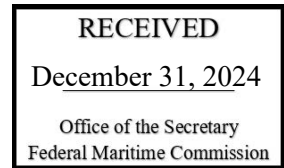




Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-03



EUROMARKET DESIGNS, INC. v.

MSC MEDITERRANEAN SHIPPING COMPANY SA, OCEAN NETWORK EXPRESS PTE.
LTD., EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982), EVERGREEN
MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK) LIMITED, ITALIA
MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD., EVERGREEN MARINE
(SINGAPORE) PTE. LTD., HMM COMPANY LIMITED, MAERSK A/S, CMA CGM S.A.,
APEX MARITIME CO, INC., CHINA UNITED TRANSPORT, INC., COSCO SHIPPING
LINES CO., LTD., AND WAN HAI LINES LTD.

VERIFIED COMPLAINT

I. INTRODUCTION

1. Complainant Euromarket Designs, Inc. (“EDI” or “Complainant”) brings this Verified Complaint (the “Complaint”) against the following respondents:

Service Contract Respondents

MSC Mediterranean Shipping Company SA (“MSC”), Ocean Network Express Pte. Ltd. (“ONE”), Evergreen Line Joint Service Agreement (FMC#011982) (the “Evergreen Line Joint Service Agreement”) consisting of Evergreen Marine Corp. (Taiwan) Ltd. (“Evergreen Taiwan”), Evergreen Marine (UK) Limited (“Evergreen UK”), Italia Marittima SpA (“Italia”), Evergreen Marine (Hong Kong) Ltd. (“Evergreen Hong Kong”), Evergreen Marine (Singapore) Pte. Ltd.

(“Evergreen Singapore” and, collectively with the Evergreen Line Joint Service Agreement, Evergreen Taiwan, Evergreen UK, Italia, and Evergreen Hong Kong, “Evergreen”¹), and HMM Company Limited (“HMM”) (each a “Respondent” and, collectively, the “Service Contract Respondents”).

Non-Service Contract Respondents

Maersk A/S (“Maersk”), CMA CGM S.A. (“CMA”), Apex Maritime Co., Inc. (“Apex”), China United Transport, Inc. (“CU Lines”), COSCO SHIPPING Lines Co., Ltd. (“COSCO”), and Wan Hai Lines Ltd. (“Wan Hai”) (each a “Respondent”, collectively, the “Non-Service Contract Respondents”, and, collectively with the Service Contract Respondents, the “Respondents”).

2. Complainant brings this Complaint pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to Complainant caused by Respondents’ violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), alleged herein.

3. The COVID-19 pandemic caused unprecedented challenges to trade and the global economy. During these difficult times, as alleged herein, Respondents took advantage of price inflation and congestion issues in the container shipping sector and unfairly exploited their customers. Consequently, Respondents’ profits surged considerably, while shippers and the broader public in the United States had to shoulder the increased freight costs in the form of cost surges and inflation.

4. *First*, the Service Contract Respondents have engaged in a practice of systematically failing to meet their respective service commitments to Complainant and, upon information and belief, other shippers. Each Service Contract Respondent entered into one or more

¹ These Respondents are each parties to the Evergreen Line Joint Service Agreement, FMC Agreement No. 011982, and collectively do business under the common trading name Evergreen Line.

service contracts with Complainant (the “Service Contracts”), each of which specified minimum quantity commitments (“MQCs”) of cargo to be shipped and corresponding service commitments by each respective Service Contract Respondent to provide vessel space sufficient to carry those MQCs. But instead of honoring their respective service commitments to Complainant under the Service Contracts, each of the Service Contract Respondents systematically failed to meet those service commitments and, on information and belief, sold Complainant’s bargained-for space at higher rates for cargo from other shippers to maximize their own profits. As a result, Complainant had to obtain space on the spot market at enormous expense during a period of unprecedented high spot prices, or else forgo making such shipments.

5. The Federal Maritime Commission (the “FMC” or “Commission”) has recognized the unlawful nature and broad impact of such practices. For example, in *MCS Industries, Inc. v. MSC Mediterranean Shipping Company SA*, FMC Docket No. 21-05—the FMC’s Chief Administrative Law Judge found, in a decision unanimously affirmed by the Commission itself, that the Shipping Act violations alleged against Respondent MSC in that case, which parallel the Service Contract Respondents’ practices of failing to meet their service commitments to Complainant as alleged herein, “***are of national significance***, for example, that one of the largest container lines in the world ‘sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to resort to spot market purchases’ by the ‘practice of systematically failing to meet its quantity commitments’”²

6. *Second*, the Service Contract Respondents’ misconduct alleged herein was not limited to their practice of flouting their respective service commitments. Those Respondents also engaged in a practice of coercing Complainant, and, upon information and belief, other shippers,

² Except where otherwise noted, all bold and italicized text reflects added emphasis.

to pay extracontractual prices and surcharges, including Peak Season Surcharges (“PSS”), as a precondition to the Service Contract Respondents meeting even a portion of their respective service commitments under the relevant Service Contracts.

7. *Third*, upon information and belief, during the 2020–2021 and 2021–2022 shipping years, at least a substantial majority of the demurrage and detention charges (the “Charges”) assessed by the Respondents and paid by Complainant were assessed for periods of time in which Complainant’s ability to pick up containers at the ports, or return empty containers promptly, was constrained due to circumstances outside the control of Complainant, such as port congestion and shortage of equipment.

8. Upon information and belief, Respondents’ practices were knowing and deliberate, and were not due to an absence of available cargo space or necessitated by any other circumstance outside of Respondents’ control.

9. Upon information and belief, Respondents have profited greatly from the conduct alleged herein.

10. The following chart shows each Respondent’s respective increase in revenues from 2020 through 2022 in US\$ billions.

	ONE	HMM	Evergreen	Maersk	CMA	Wan Hai	COSCO	MSC
2020	\$14.40	\$5.44	\$1.6	\$39.74	\$24.03	\$2.73	\$26.55	\$29
2021	\$31	\$12.05	\$10.9	\$61.79	\$45.29	\$7.60	\$51.74	\$69
2022	\$29.28	\$14.38	\$13	\$82	\$58.59	\$8.63	\$58.1	\$91.1

11. Respondents’ profitability has come at the direct expense of businesses and consumers in the United States. The contemporary impacts of increased freight costs across the entire shipping industry have been devastating to shippers’ businesses, even helping to drive some iconic American businesses into bankruptcy.

12. Profiteering by container lines injures not only shippers but the entire consumer public, in the form of inflation. In the aftermath of the pandemic, inflation rose to crisis levels and led to extreme fiscal tightening in the form of increased interest rates, while global ocean carriers reported windfall profits. Indeed, the International Monetary Fund released an Analytical Series report on January 24, 2023 indicating that “[t]he 2021 ***surge in global shipping costs was a canary in the coal mine for the persistent rise in inflation***” and that “[g]iven the actual increase in global shipping costs during 2021, we estimate that the impact on inflation in 2022 was more than 2 percentage points—a huge effect that few central banks would dismiss.”

13. Respondents have also greatly benefited by organizing themselves, along with other major non-U.S. shipping lines, into collusive “alliances” at the expense of shippers. Upon information and belief, the members of the three global alliances—i.e., the “2M Alliance”, which comprises Respondents MSC and Maersk, the “Ocean Alliance”, which comprises Respondents COSCO, CMA, and Evergreen, and the “THE Alliance”, which comprises Respondents HMM, ONE, non-party Yang Ming Marine Transport Corporation (“Yang Ming”) and others—***collectively control over 80 percent of all transpacific ocean shipping.***

14. Respondents’ conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainant and, upon information and belief, of other shippers, occurred on a normal and customary basis.

15. Accordingly, pursuant to 46 U.S.C. Section 41301, Complainant brings this Complaint seeking reparations for injuries caused by Respondents’ violations of the Shipping Act as alleged herein.

II. THE COMPLAINANT

16. Complainant Euromarket Designs, Inc. is a corporation existing under the laws of Illinois with a mailing address of 1250 Techny Road, Northbrook, Illinois, 60062, reachable via telephone at (847) 239-6668, and via its undersigned counsel's telephone numbers and email addresses listed below. For purposes of the allegations of this Complaint, Complainant was a "shipper" as that term is defined by 46 U.S.C. Section 40102(23).

III. THE RESPONDENTS

Service Contract Respondents

MSC

17. Upon information and belief, Respondent Mediterranean Shipping Company SA is a company existing under the laws of Switzerland with its principal place of business located at 12-14 Chemin Rieu, 1208 Geneva, Switzerland. MSC is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with organization number 001699.

ONE

18. Upon information and belief, Respondent Ocean Network Express Pte. Ltd. is a company existing under the laws of Singapore with its principal place of business located at 7 Straits View, #16-01 Marina One East Tower, Singapore 018936, acting in the United States by and through its agent, Ocean Network Express (North America) Inc., a company existing under the laws of the Commonwealth of Virginia with its principal place of business located at 8730 Stony Point Parkway, Richmond, Virginia, 23235, and is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 027043.

19. Upon information and belief, Respondent Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “ONE”.

Evergreen

20. Upon information and belief, Respondent Evergreen Marine Corp. (Taiwan) Ltd. is a company existing under the laws of Taiwan with a principal place of business located at 1-4F., 166 Minsheng East Road, Section 2, Taipei City, Taiwan acting in the United States by and through its agent, Evergreen Shipping Agency (America) Corp., a company existing under the laws of the State of New Jersey with a principal place of business located at One Evertrust Plaza, Jersey City, NJ 07302, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 001262.

21. Upon information and belief, Respondent Evergreen Marine (UK) Ltd. is a company existing under the laws of the United Kingdom with a principal place of business located at Evergreen House, 160 Euston Road, London, England, NW1 2DX U.K., and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 020776.

22. Upon information and belief, Respondent Italia Marittima SpA is a company existing under the laws of Italy with a principal place of business located at Passeggio S. Andrea, 4-34123, Trieste, Italy, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 020013.

23. Upon information and belief, Respondent Evergreen Marine (Hong Kong) Ltd. is a company existing under the laws of Hong Kong with a principal place of business located at 22-

723 Floor, Harcourt House, 39 Gloucester Road, Wan Chai, Hong Kong, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 020988.

24. Upon information and belief, Respondent Evergreen Marine (Singapore) Pte. Ltd. is a company existing under the laws of Singapore with a principal place of business located at 200 Cantonment Road, #12-01, Southpoint, Singapore, 089736, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 022005.

25. Evergreen Taiwan, Evergreen UK, Italia, Evergreen Hong Kong, and Evergreen Singapore, along with non-party Evergreen Marine (Asia) Pte. Ltd. (a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 029054), together form the Respondent Evergreen Line Joint Service Agreement, FMC No. 011982, and together do business as Evergreen Line. Evergreen Line Joint Service Agreement is itself a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 020775.

26. Upon information and belief, Respondents Evergreen Line Joint Service Agreement, Evergreen Taiwan, Evergreen UK, Italia, Evergreen Hong Kong, and Evergreen Singapore acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “Evergreen”.

HMM

27. Upon information and belief, Respondent HMM Company Limited is a company existing under the laws of the Republic of Korea with its principal place of business located at 194

Yulgok-ro, Jongno-gu, Seoul, Korea, acting in the United States by and through its agent, HMM (America) Inc., a company existing under the laws of the State of Texas with its principal place of business located at 222 W. Las Colinas Blvd., Suite 700, Irving, Texas, 75039, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 001452. Since July 2024 Respondent HMM Company Limited has been designated as a “controlled carrier” of the Republic of Korea as that term is defined by 46 U.S.C. Section 40102(9).

28. Upon information and belief, Respondent HMM Company Limited and HMM (America) Inc. acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “HMM”.

Non-Service Contract Respondents

Maersk

29. Upon information and belief, Maersk A/S is a company existing under the laws of Denmark with its principal place of business located at Esplanaden 50, DK-1098 Copenhagen, Denmark, acting in the United States by and through its agent, Maersk Agency U.S.A., Inc., a corporation existing under the laws of Delaware with a principal place of business located at 180 Park Avenue, Florham Park, New Jersey, 07932, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 025360.

30. Maersk A/S also operates as a vessel-operating ocean common carrier under the trade names Sealand, Maersk Line, Safmarine, and Hamburg Sud under the same FMC organization number, all of which, like Maersk A/S, are, upon information and belief, wholly owned subsidiaries of the publicly traded Danish company A.P. Møller - Mærsk A/S.

31. Upon information and belief, Respondent Maersk A/S, Maersk Line, Sealand, Hamburg Sud, Safmarine, and Maersk Agency U.S.A., Inc. acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “Maersk”.

CMA

32. Upon information and belief, Respondent CMA CGM S.A. is a company existing under the laws of France with its principal place of business located at 4, Quai D’Arenc, P.O. Box 2409, 13215 Marseilles Cedex 02, France, acting in the United States by and through its agent, CMA CGM (America) LLC, a limited liability company existing under the laws of New Jersey with its principal place of business located at 5701 Lake Wright Drive, Norfolk, Virginia, 23502, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 016541.

33. Upon information and belief, Respondent CMA CGM S.A. and CMA CGM (America) LLC acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “CMA”.

Apex Shipping

34. Upon information and belief, Respondent Apex Maritime Co., Inc. is a company existing under the laws of California with its principal place of business located at 877 Mahler Road, 2nd Floor, Burlingame, California, 94010, and is a “non-vessel-operating common carrier” as that term is defined by 46 U.S.C. Section 40102(17) with FMC organization number 008937.

CU Lines

35. Upon information and belief, Respondent China United Transport, Inc. is a company existing under the laws of the People’s Republic of China with its principal place of

business located at Building 12, Lane 706 Wuxing Street, Pudong District, Shanghai 201204, China, and is a “non-vessel-operating common carrier” as that term is defined by 46 U.S.C. Section 40102(17) with FMC organization number 016254.

COSCO

36. Upon information and belief, Respondent COSCO SHIPPING Lines Co., Ltd. is a company existing under the laws of the People’s Republic of China with its principal place of business located at No. 378 Dong Da Ming Road, Shanghai 200080, China, acting in the United States by and through its agent, COSCO SHIPPING Lines (North America) Inc., a company existing under the laws of the State of Delaware with its principal place of business located at 100 Lighting Way, Secaucus, New Jersey, 07094, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 015614.

37. COSCO also is a “controlled carrier” of the People’s Republic of China as that term is defined by 46 U.S.C. Section 40102(9).

38. Upon information and belief, Respondent COSCO SHIPPING Lines Co., Ltd. and COSCO SHIPPING Lines (North America) Inc. acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “COSCO”.

Wan Hai

39. Upon information and belief, Respondent Wan Hai Lines Ltd. is a company existing under the laws of Taiwan with its principal place of business located at located at 10th Floor, No. 136, Sung Chiang Road, Taipei 10417, acting in the United States by and through its agent, Wan Hai Lines (USA) Ltd., a company existing under the laws of California with its principal place of business located at located at 301 E. Ocean Boulevard, #1650, Long Beach,

California, 90802, and is a vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 013148.

40. Upon information and belief, Respondent Wan Hai Lines Ltd. and Wan Hai Lines (USA) Ltd. acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “Wan Hai”.

IV. JURISDICTION AND LEGAL AUTHORITY

41. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 *et seq.*

Service Contract Respondents

42. The FMC has personal jurisdiction over each of the Service Contract Respondents as an “ocean common carrier”, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a “service contract”, as that term is defined by 46 U.S.C. Section 40102(21), with Complainant.

43. By definition, the Service Contract Respondents’ Service Contracts with Complainant required the Service Contract Respondents to “commit[] to a certain rate or rate schedule *and a defined service level, such as assured space*, transit time, port rotation, or similar service features.”³

44. The Service Contract Respondents’ practices alleged herein of systematically failing to meet their respective service commitments constitute a failure by the Service Contract Respondents to establish, observe, and enforce just and reasonable practices relating to receiving,

³ 46 U.S.C. § 40102(21) (emphasis added); *accord* 46 C.F.R. § 530.3(q); *see also* 46 U.S.C. § 40502(c)(7) (requiring service contracts to include “service commitments” as essential terms); 46 C.F.R. § 530.8(b)(5) (same); 46 C.F.R. § 530.8(c) (providing for the certainty of terms in service contracts by, *inter alia*, prohibiting such essential terms from being “uncertain, vague or ambiguous”).

handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

45. The Service Contract Respondents' practices alleged herein of systematically failing to meet their respective service commitments also constitute the provision of service in the liner trade that was not in accordance with the rules and practices contained in their respective Service Contracts with Complainant, in violation of 46 U.S.C. Section 41104(a)(2).

46. The Service Contract Respondents' practices alleged herein of coercing premium pricing and extracontractual surcharges from Complainant by conditioning performance of their respective existing service commitments on the payment of premium prices and extracontractual surcharges constitute a failure by the Service Contract Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

47. The Service Contract Respondents' practices alleged herein of coercing premium pricing and extracontractual surcharges from Complainant by conditioning performance of their respective existing service commitments on the payment of premium prices and extracontractual surcharges also constitute the provision of service in the liner trade that was not in accordance with the rules and practices contained in their Service Contracts with Complainant, in violation of 46 U.S.C. Section 41104(a)(2).

48. The Service Contract Respondents' actions alleged herein further constitute unreasonable refusals to deal or negotiate with Complainant, in violation of 46 U.S.C. Section 41104(a)(10).

49. The Service Contract Respondents’ assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of the Service Contract Respondents that led to the assessment of such Charges constitute failures by Service Contract Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c) and the FMC’s Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020) (partially codified at 46 C.F.R. Section 545.5) (the “Interpretive Rule”), and in particular the Incentive Principle articulated in the Interpretive Rule.

50. The Service Contract Respondents’ assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of Respondents that led to the assessment of such Charges also constitute violations of 46 U.S.C. Section 41104, including in particular 46 U.S.C. Section 41104(a)(10)’s prohibition on unreasonable refusals to deal or negotiate.

Non-Service Contract Respondents

51. The FMC has personal jurisdiction over each of the Non-Service Contract Respondents based on their respective statuses as either a vessel-operating ocean common carrier (“VOCC”) or a non-vessel-operating common carrier (“NVOCC”) under the Shipping Act. Specifically, the FMC has personal jurisdiction over Maersk, CMA, COSCO, and Wan Hai as VOCCs pursuant to 46 U.S.C. Section 40102(18), and over Apex and CU Lines as NVOCCs pursuant to 46 U.S.C. Section 40102(17).

52. The Non-Service Contract Respondents’ assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of the Non-Service Contract Respondents that led to the assessment of such Charges constitute failures by the Non-Service Contract Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling,

storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c) and the FMC's Interpretive Rule, and in particular the Incentive Principle articulated in the Interpretive Rule.

53. The Non-Service Contract Respondents' assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of the Non-Service Contract Respondents that led to the assessment of such Charges also constitute violations of 46 U.S.C. Section 41104, including in particular 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

V. THE MATTERS COMPLAINED OF (ALLEGED FACTS)

Extreme Port Congestion and Supply Chain Crunch Throughout the United States

54. By tonnage, about 70% of all U.S. international trade moves by water through U.S. ports. During 2019 to 2022, there has been a sustained increase in containerized imports to most U.S. ports as compared to pre-pandemic levels. In late 2021 and early 2022 in particular, the number of container ships waiting to dock at a U.S. port more than doubled, peaking at more than 150 in early February 2022. Across all major U.S. ports, the supply chain crunch was driven by a confluence of pandemic-related disruptions, including labor shortages, increased consumer demand, and infrastructure inadequacies, with self-serving business practices by ocean carriers, marine terminals, and other supply chain participants. In that environment, soaring freight rates became the norm. The consolidation of the shipping industry further aggravated the situation, as carriers and carrier alliances prioritized profits over service reliability, leaving shippers and exporters to bear the brunt of the crisis while the carriers, under the guise of limited supply and congestion, raked in historic, unprecedented profits.

55. The Ports of Los Angeles and Long Beach, California, which together handle nearly 40% of U.S. imports, experienced severe congestion throughout 2021 and early 2022. This

congestion, driven by high consumer demand, the early Lunar New Year, and the ongoing effects of the COVID-19 pandemic, led to significant delays in unloading and moving cargo. By late 2021, the twin ports were overwhelmed, with 87 vessels waiting offshore due to record import volumes driven by post-pandemic consumer demand. The number of vessels waiting offshore later grew to as many as 141. In an effort to alleviate container yard congestion, the city of Long Beach implemented measures such as allowing container stacks to double in height. Despite these efforts, the situation deteriorated. The average waiting time for ships to dock at port was extended to 10 days. Between 2020 and 2022, the Port of Los Angeles experienced notable fluctuations in container volumes, measured in twenty-foot equivalent units (“TEU”), compared to the pre-pandemic period of 2017 to 2019. During the pre-pandemic years, the port consistently handled around 9.3 to 9.5 million TEUs annually, however, 2021 saw a dramatic increase, with the port processing a record high of about 10.7 million TEUs, reflecting a significant surge in activity. By 2022, volumes slightly declined to approximately 9.9 million TEUs but remained higher than the pre-pandemic averages, indicating a sustained increase in activity despite the easing of pandemic-related disruptions.

56. The Port of Oakland, California also faced severe congestion throughout 2021. Maersk warned in a May 26, 2021 customer advisory that, although the ports of Los Angeles and Long Beach “remain strained with vessel wait times averaging between one to two weeks”, “the situation is even more dire at the Port of Oakland, where wait times now extend up to three weeks.” In June 2021, the Port of Oakland reported significant increases in cargo volume, reaching an all-time high of handling the equivalent of 1.08 million 20-foot containers from January through May 2021, driven by a 26% rise in imports in May compared to the previous year. Bryan Brandes, the Maritime Director of the Port of Oakland, highlighted the unprecedented challenges, citing both

record cargo volumes at U.S. West Coast ports and disruptions at the Port of Yantian in China due to a COVID-19 outbreak there. One carrier noted that this situation was a result of the ongoing congestion at the ports of Los Angeles and Long Beach, which had ripple effects on other ports, including Oakland.

57. At the Port of New York and New Jersey, the busiest container port on the U.S. East Coast, pandemic disruptions also resulted in a significant strain on operations, as the terminals struggled to handle increased import volumes. COVID-19's effects on the workforce further exacerbated congestion issues, with Sam Ruda, Director of the Port Authority of New York and New Jersey, stating “[w]e have seen a spike in the number of labour[ers] going out into quarantine.” Vessels queued for extended periods and the limited storage capacity caused a ripple effect, including mounting demurrage and detention charges for shippers. Increased waiting times for container ships and a spike in COVID-19 cases among port workers led to further delays. The overall impact on the port was significant, with cargo volumes reaching 8.12 million TEUs by the end of November 2021, compared to 7.47 million TEUs for the entire year of 2019. In early January 2022, the Port of New York and New Jersey faced an unusual backlog of container ships anchored off Long Island, resulting from a surge in cargo volumes combined with a spike in COVID-19 cases among dockworkers, leading to increased quarantine rates. Consequently, the average wait time at anchorage for container carriers rose from 1.6 days to 4.75 days in the final week of 2021. In May 2022, the Port of New York and New Jersey, was still experiencing significant congestion due to a surge in cargo volumes. The average number of container ships waiting to dock reached 14 per day, the highest since the onset of the COVID-19 pandemic.

58. The Port of Savannah, Georgia, a major logistics hub for the southeastern United States, experienced some of the longest vessel queues in its history during the 2021–2022 period,

with at times more than 40 ships anchored offshore waiting to unload. Port leaders reported that ongoing congestion and labor challenges at West Coast ports “caused shippers to redirect cargo to the East Coast, [and] a lot of that has come to Savannah”, which saw a significant increase in redirected shipments as a result. As of October 2021, almost 80,000 shipping containers had been left at the Port of Savannah as they waited to be delivered either to their final destinations or to warehouses that were already filled to the brim.

59. Secondary ports across the United States, including those along the coast of the Gulf of Mexico and smaller ports on the Atlantic Ocean, experienced varying degrees of strain as shippers sought alternatives to congested major ports. The ripple effects of diverted cargo flow often overwhelmed these smaller ports, which lacked the same level of infrastructure and operational capacity. This dynamic highlighted the interconnectedness of the national port system and the critical need for a more resilient and flexible logistics network to manage future disruptions.

60. For example, during the supply chain crisis, the Port of Houston, Texas became increasingly significant due to its central role in Gulf Coast logistics. While it initially avoided the extreme congestion seen on the coasts, “[w]hen by 2022, the East Coast’s big ports became too busy, [the] port was experiencing its own backlogs as shippers began to send more redirected goods away from West Coast ports like LA/LB. Houston’s growing prominence as an alternative came with challenges in handling the influx of containers. In January 2022, Houston saw a 27 percent rise in containerized traffic year-on-year, leading to a shortage of space.” There was no sign of slowdown throughout 2022. In October 2022, the “container volume at Port Houston once again grew by double digits, continuing the trend seen throughout 2022. A total of 371,994 TEUs were handled during the month, a 13% increase compared to October 2021.” These difficulties

strained its infrastructure, highlighting the cascading effects of the national supply chain disruptions.

61. The Northwest Seaport Alliance, which includes the Ports of Seattle and Tacoma, Washington, was similarly affected during the crisis. In October 2021, “[w]ith congestion spreading to other ports across the United States, Maersk, MSC, and Zim announced that they will be omitting calls in Seattle due to the mounting delays at the port.” Their proximity to major trade routes with Asia made these ports critical nodes in the supply chain but also left them vulnerable to the same systemic pressures as Los Angeles and Long Beach. That surge led to stalls in the supply chain as ports struggled to keep up with a throng of ships, rail, and truck traffic waiting to load and unload containers full of goods.

Concerted, Coordinated and/or Parallel Activity of Respondents

62. Ocean freight industry experts noted that, during the pandemic, Respondents and other ocean carriers engaged in concerted, coordinated, and/or parallel activity to restrict capacity in order to avoid taking volume from one another and to keep prices high. As the pandemic disruptions continued to reverberate through the supply chain, Respondents operated in parallel, assessing increasing premium prices and surcharges, and failing to meet their contractual MQC commitments, to force their customers onto the much more lucrative spot market (in which they themselves were participating).

63. As stated above, the VOCC Respondents organized themselves, along with other major non-U.S. shipping lines, into collusive global “alliances.”

64. In addition to forming these “alliances” with other carriers that the VOCC Respondents formerly would have competed against in the global shipping market for customers, the VOCC Respondents have increased their respective and combined market shares through acquisitions of other large shipping carriers. Respondent MSC purchased Bolloré Africa Logistics

in 2022. Respondent CMA bought American President Lines in 2015. Respondent COSCO merged with China Shipping Group Company in 2016 and acquired Orient Overseas Container Line (“OOCL”) in 2018. Respondent ONE was founded in 2016 as a joint venture of three large Japanese carriers, NYK (Nippon Yusen Kabushiki Kaisha), MOL (Mitsui O.S.K. Lines, Ltd.), and K Line (Kawasaki Kisen Kaisha, Ltd.). Respondent Maersk bought Hamburg Sud (Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG) in 2017.

65. The result of this consolidation and alliance activity has been to create an oligopoly of carriers that collectively control the main transoceanic shipping lanes. Industry commentators have opined that this oligopolistic competitive landscape enabled ocean carriers to coordinate their activities, manage supply, avoid price competition and prioritize profitability during pandemic disruptions.

66. As a result of this industry consolidation, the top eight VOCCs—seven of which are Respondents Maersk, MSC, CMA, COSCO, ONE, Evergreen, and HMM—had a collective market share of 81.1% of all global shipping capacity as of November 2021. Prominent industry commentators have recognized that this increased concentration allowed ocean carriers to alter their business practices to prioritize profitability during the pandemic disruptions, at the expense of their customers. Upon information and belief, during the pandemic, ocean carriers were also able to coordinate their policies, leading to instances in which most, if not all, of the unlawful practices alleged herein were being implemented across the board, eliminating the opportunity for customers to seek viable alternative accommodations or mitigate their damages.

67. **Restricting Capacity During the Pandemic:** In the early months of the COVID-19 pandemic, multiple ocean carriers simultaneously canceled scheduled voyages under the guise of demand uncertainty. Industry commentators noted that this parallel activity was a continuation

of carriers' coordinated practices from even before the pandemic, when carriers often actively coordinated parallel "blank" sailings during periods of weak demand growth. In May through August 2020, the three largest container shipping alliances (the "THE Alliance", the "2M Alliance", and the "Ocean Alliance") announced cancellations of 126 scheduled sailings between Asia and North America, and 94 scheduled sailings between Asia and Europe. In the first six months of 2020, container lines collectively canceled over 1,000 voyages. These coordinated mass blank sailing events, caused by "shipping lines . . . consciously deciding not to take cargoes from each other", successfully prevented container rates from slipping even in the face of supply disruptions and shutdowns. The effect of these canceled voyages was to restrict capacity and ultimately create a shock to the shipping market when consumer demand for imports made a dramatic resurgence in summer of 2020.

68. **Imposing Surcharges as Demand Increased:** In addition to failing to meet their service commitments, the major carriers frequently imposed simultaneous unilateral surcharges, such as premium rates or PSS. Industry commentators attributed this ability to engage in parallel surcharge conduct to the lack of effective competition. As a shipper, if all carriers were demanding exorbitant surcharges at the same time, there was little incentive—and indeed, no feasible alternative—to do anything other than accept.

69. This parallel conduct led to a vicious upward spiral of freight prices, with carriers demanding increasingly astronomical prices from shippers who often were already not receiving from those carriers the cargo space that they had bargained for in their existing (and supposedly fixed-rate) service contracts.

70. **Refusal to Compete for Volume:** As reported in the industry press, during pandemic disruptions, major carriers failed to take volume from each other and deliberately

avoided aggressive competition. Because only a handful of companies controlled shipping capacity, they had little incentive to compete. Instead, carriers prioritized profitability, managing supply during the early pandemic disruptions and raising prices in lockstep during the period of high demand that followed.

71. **Parallel Conduct in Shorting Customers and Resorting to Spot Sales:** The parallel failure of ocean carriers to honor their respective service contracts and provide contracted capacity pushed customers into the volatile spot market. Commentators have noted that the ocean carrier industry, as a whole, pursued a strategy of non-adherence to contracts during the 2021–2022 period of high spot market rates in order to maximize revenue. Press reports also revealed that, during this period, carriers intentionally overbooked ships and then prioritized spot market cargo on those ships. Because carriers acted in parallel to short customers on their contracted-for space, customers had nowhere to turn but the expensive spot market—a market dominated by those very same carriers. Carriers’ parallel conduct led to shippers’ increased use of the spot market in the aggregate, increasing carrier profits at the expense of customers.

72. With the terms of existing shipping “alliances” ending soon, carriers are regrouping into slightly different but no less concentrated alliances. In 2024, ONE, HMM, and Yang Ming announced a new “Premier Alliance” that will be effective for five years from 2025, effectively continuing the “THE Alliance” well into the future. MSC announced a slot exchange cooperating agreement with the new “Premier Alliance”. Maersk will join the “Gemini Cooperation” after the “2M Alliance” ends. Meanwhile, in 2024, MSC and (non-party VOCC) ZIM Integrated Shipping Services Ltd. (“ZIM”) also announced a new long-term cooperation agreement on the Asia - US East Coast and Asia - US Gulf trades. Finally, CMA, COSCO, OOCL, and Evergreen will continue the OCEAN Alliance with its current members and service.

The Service Contracts

73. Complainant entered into a service contract, as that term is defined by 46 U.S.C. Section 40102(21), with HMM (the “HMM Service Contract”) for the period March 1, 2021 through April 30, 2022 with service commitments and an MQC of 3,000 forty-foot equivalent units (“FEU”).

74. Complainant entered into a service contract, as that term is defined by 46 U.S.C. Section 40102(21), with ONE (the “ONE Service Contract”) for the period March 1, 2021 through April 30, 2022 with service commitments and an MQC of 11,614 TEUs (equaling 5,807 FEUs).

75. Complainant entered into a service contract with Evergreen (the “Evergreen Service Contract”) for the period May 1, 2021 through April 30, 2022 with service commitments and an MQC of 11,200 TEUs (equaling 5,600 FEUs).

76. Complainant entered into a service contract as that term is defined by 46 U.S.C. Section 40102(21), with MSC (the “MSC Service Contract”) for the period May 1, 2021 through April 30, 2022 with service commitments and an MQC of 5772 TEUs (equaling 2,886 FEUs). Complainant amended this contract to add an additional MQC of 4000 TEUs (equaling 2000 FEUs), also for the period of May 1, 2021 through April 30, 2022, thus increasing the total MQC under the service contract to 9772 TEUS (4,866 FEUs).

Service Contract Respondents Systematically Failed to Meet Their Respective Service Commitments under the Service Contracts in Favor of Cargo Shipped at Higher Rates

77. Instead of honoring their respective service commitments, the Service Contract Respondents each undertook a practice of systematically failing to provide the cargo space for which Complainant had contracted in the Service Contracts, resulting in mounting shortages.

78. As alleged herein and summarized below, each Service Contract Respondent pursued a policy of falling short on its service commitments throughout the term of its 2021–2022

Service Contract and profited by shifting the cargo space for which Complainant had contracted to freight being carried at higher rates.

MSC

79. MSC's failure to meet its service commitments to Complainant and recurring problems with releasing bookings harmed Complainant's operations and caused Complainant to incur increased shipping costs.

80. MSC began falling short on its service commitment early into the MSC Service Contract. For example, on May 17, 2021, Complainant wrote: "Could you please follow up with your origin teams and ask them to release as much space as possible as the acceptance rate is hovering around 45% for Weeks 19 – 22?"

81. Complainant made repeated efforts to get MSC to release space and bookings in a timely and efficient manner. In one instance on July 20, 2021, Complainant wrote: "The following bookings are pending because MSC India is still advising there are no rates in place for 20's ex India to USEC. Per your previous email, you confirmed rates are in place. Can you please follow up with your POL teams to release the space?"

82. MSC was aware of its failure to provide Complainant with its allocation and internally acknowledged serious problems with its performance. On September 27, 2021, MSC employees admitted in internal email correspondence, "As of now we have no confirmed bookings for next week. We also had zero bookings accepted out of Semarang last week and this week (38 & 39), and zero booking accepted out of Jakarta for this week (39)."

83. Despite committing to carry 4,886 FEUs of cargo for Complainant during the term of the MSC Service Contract, MSC carried only approximately 4,494 FEUs of Complainant's cargo, falling significantly short of its service commitment. This 392-FEU shortfall forced

Complainant to seek alternative carriage at higher rates or, in some cases, forgo shipments entirely, resulting in substantial financial losses and operational disruptions.

HMM

84. HMM's persistent failure to meet its service commitments to Complainant is evidenced by numerous internal communications highlighting the ongoing issues.

85. HMM's cargo space shortfalls began immediately after the HMM Service Contract went into effect on March 1, 2021. For example, on April 12, 2021, Complainant wrote: "Our Indonesia origin team is still placing bookings up to the MQC with Hyundai, but we continue to have 0 FEU from this origin. Can you please provide an update on the situation in Indonesia and advise why we are not getting space?" Similarly, on April 27, 2021, Complainant expressed deep frustration that since the HMM Service Contract's inception, HMM had consistently fallen short of its commitments, leading to significant losses for Complainant. Weekly requests for updates yielded only "the same textbook answers that [we] are checking with origin," with no effective action from HMM to resolve the issue.

86. These failures, coupled with the imposition of surcharges and the resulting inability to meet business demands, directly caused Complainant to incur lost profits and highlighted HMM's breach of its contractual obligations: "Since our contract started, I don't think Hyundai has ever come close to honoring their commitment, and this is costing us. What do we need to do?"

87. Despite committing to carry 3,000 FEUs of cargo for Complainant during the term of the HMM Service Contract, HMM carried only approximately 1,916 FEUs of Complainant's cargo, falling significantly short of its service commitment. This 1,084-FEU shortfall forced

Complainant to seek alternative carriage at higher rates or, in some cases, forgo shipments entirely, resulting in substantial financial losses and operational disruptions.

ONE

88. ONE's failure to meet its service commitments and its repeated mishandling of bookings also caused significant operational setbacks and increased shipping costs for Complainant.

89. ONE also began falling short on its service commitment immediately after the ONE Service Contract went into effect on March 1, 2021. On April 25, 2021, Complainant noted that for week 17, only 142 TEUs were released against a locked plan of 148 TEUs, which itself was far short of the previously agreed weekly allocation of 222 TEUs: "We need your help here. For week 17, so far only 142 TEUs were released against the locked plan of 148 TEUs and not to forget our weekly allocation of 222 TEUs."

90. In another instance, on May 3, 2021, Complainant highlighted a shocking lack of operational clarity and customer service from ONE, stating: "That really sounds ridiculous. Our ONE rep can not tell us if a container is on board a vessel that they had docked at a port for over 3 months while they looked at each container on board to get a list of what containers were lost overboard. No vessel manifests at all, they just sailed the ship with no record of what's loaded? Instead, we are directed to file a claim that may or may not be a legitimate claim so it could be a big waste of time for everyone. How does ONE line not have the customer service to say what containers were on board one of their vessels? I am really shocked at the level of customer service or lack of customer service we are getting on this."

91. By May 11, 2021, the situation had further deteriorated, with Complainant expressing frustration over ONE's practice of rolling bookings multiple times: "Along with what

Keighley asked for, my two cents is that this can not happen. With all the blank sailings we can not have bookings roll multiple times. One roll is unacceptable and bad enough but multiple times is very poor customer service on ONE's part."

92. On June 15, 2021, Complainant again pleaded with ONE for better communication and adherence to the ONE Service Contract, stating: "Can you please ask your origin team not to cancel the bookings so close to the cutoff? VIETNAM - ONE released bookings to the EC until Week 28, however, we are still waiting for space to be released for USWC. ONE origin advised they are still checking the Account Plan. Can you please push your team to release space up to the locked plan?"

93. Despite committing to carry 5,807 FEUs of cargo for Complainant during the term of the ONE Service Contract, ONE carried only approximately 3,781 FEUs of Complainant's cargo, resulting in a significant shortfall. This 2,026-FEU shortfall forced Complainant to seek alternative carriage at higher rates or, in some instances, to forgo shipments entirely, causing substantial financial and operational harm.

Evergreen

94. Complainant faced significant setbacks due to Evergreen's repeated failure to fulfill the committed MQC, despite Complainant's consistent and documented efforts to book the cargo space for which it had bargained. Throughout the term of the Evergreen Service Contract, Evergreen frequently cited vessel delays, void sailings, and operational challenges as reasons for failing to provide the contracted space, leaving Evergreen unable to meet Complainant's shipping needs.

95. Evergreen failed to meet its contractual obligations to provide sufficient space to Complainant from the beginning. For example, on May 5, 2021, Complainant wrote to Evergreen,

“We need to do much more as these confirmed bookings are way below our weekly allocations of 110 FEU.” Evergreen acknowledged that “May is going to be a huge challenge for us”. The next day, Complainant followed up with a chart showing Evergreen’s low booking acceptance rates in the first few weeks of the 2021-2022 Service Contract (Weeks 18-21), asking Evergreen “What do we need to get the acceptance rate to the levels in week 16 and 17??”

96. This continued to 2022, and in an email dated April 27, 2022, Complainant expressed frustration over Evergreen’s failure to honor the Evergreen Service Contract, stating: “As you know, we repeatedly requested to book the space that we had contracted for with Evergreen, but were either told that no space was available or ignored entirely. Needless to say, we are very disappointed that we did not receive the space we contracted for, as we could and would have used the full contracted MQC if Evergreen had actually made that space available to us. We are still willing to use the full contracted MQC in this contract, and would very much like Evergreen to commit to make up this shortfall.”

97. Despite committing to carry 5,600 FEUs of cargo for Complainant during the term of the Evergreen Service Contract year, Evergreen carried only approximately 5,222 FEUs of Complainant’s cargo, resulting in a shortfall of 378 FEUs. This shortfall forced Complainant to seek alternative carriage at higher rates or, in some instances, to forgo shipments entirely, causing substantial financial and operational harm.

Service Contract Respondents’ Unreasonable and Unfair Practice of Coercing Extracontractual Surcharges from Complainant

98. In addition to failing to meet their respective service commitments, the Service Contract Respondents engaged in an unfair practice of coercing financial concessions above and beyond those purportedly fixed by their respective Service Contracts, such as PSS, premium rates,

or other surcharges, as a prerequisite to honoring even a portion of their respective existing service commitments.

99. On numerous occasions, despite being far behind their respective service commitments to Complainant, the Service Contract Respondents nonetheless made space available only on the basis of an exorbitant PSS or other improper surcharge.

100. The Service Contract Respondents conditioned their respective provision of space on an explicit *quid pro quo*, in which Complainant had to agree to pay exorbitant PSS, premium rates, and other surcharges just to get the cargo space for which it had already bargained in its Service Contracts.

MSC

101. Despite its failure to meet its service commitments to Complainant, MSC pressured Complainant to accept PSS and premium rates.

102. When Complainant noted in June, 2021 that it was early for MSC to be requesting PSS, MSC strongly pressured Complainant and indicated that already-owed space⁴ would not be forthcoming because it would be given to shippers who had paid PSS: “ we did not create the extra volume and demand. Nevertheless it is there and showing no signs of slow down, so we have to do what is necessary and what the market is calling for. As you know, this has to be mutually agreed by you so if not in agreement then we don’t file. Just keep in mind I also have to have a conversation about supporting extra space for you guys starting next month so I may need some ammunition. And you are certainly not the only ones coming to us for extra space out of India right now. Space is very much in demand.”

⁴ MSC was already well behind on its MQC at this point, so ‘extra space’ would have been going towards a deficit.

103. MSC openly informed Complainant that Complainant had to pay PSS on certain routes in order to have any chance of getting space allocations. On January 1, 2022, MSC wrote: “I am being advised we need to apply a PSS ex India moving forward. The amount was \$750 until end of December. I'm being told the new level is now \$3500. This will continue to allow us to hit your allocation and prioritize equipment release as all three strings continue to receive high demand from the India area. Something we need your review and feedback on”.

104. MSC declined to provide Complainant with additional cargo space until Complainant agreed to PSS. For example, MSC’s employee Dever Mahoney wrote to Complainant on January 14, 2022: “Unfortunately we cannot accept any additional volumes at this time.” Another of MSC’s employees wrote on the same day: “Just saw a forecast request that was declined by Dever as he needs feedback from our announcement of the \$3500 PSS from India. Please advise if you have discussed and can provide feedback promptly. The PSS was supposed to be Jan 1 effective date”.

105. As a result, during the term of the MSC Service Contract, Complainant paid MSC approximately \$4 million in premium charges for the cargo that MSC did ship during that period, which could have been avoided had MSC simply fulfilled its existing service commitments to Complainant in compliance with the MSC Service Contract.

HMM

106. On numerous occasions, despite failing its service commitments to Complainant to carry the agreed amount of cargo, HMM conditioned the provision of cargo space to Complainant on the payment of excessive “supreme rates” and other improper surcharges. HMM explicitly tied its willingness to release space to Complainant’s agreement to pay these elevated rates, even while failing to meet HMM’s existing contractual obligations. For instance, in an email dated April 9,

2021, HMM stated: “That in this very very tight situation, it’s hard to release DO with your rate [e]xcept you can accept to arrange under supreme rate.” In doing so, HMM made explicit that the problem was not availability of space, but instead Complainant’s *low rate* compared to other shippers willing to pay higher rates.

107. This motive is further corroborated by correspondence noting: “Hyundai is advising that they *cannot release space to us ex Indonesia unless Crate pays the ‘supreme’ rate*. This is disappointing as Hyundai has not been meeting their weekly commitment under the contract and now they are asking for higher rates. Could you escalate this to the Hyundai team as we cannot afford to keep losing space ex Indonesia?” This unreasonable, profit-motivated conduct continued during the 2021–2022 shipping year; in a July 1, 2021 email, HMM reinforced this improper tying of the release of cargo space to premium rates, stating: “We received the attached proof of cancelled bookings overnight. In one of the emails, HMM Indonesia is advising they *cannot release any space unless we are willing to pay ‘Supreme Rates’*. We should be able to get some space under the regular contract without having to pay higher rates.”

108. As a result, during the term of the HMM Service Contract, Complainant paid HMM approximately \$350,000 in premium charges for cargo shipped during that period, which could have been avoided had HMM simply fulfilled its existing service commitments to Complainant in compliance with the HMM Service Contract.

ONE

109. ONE’s repeated imposition of PSS and the mishandling of space allocations under “Premium+” contracts caused significant financial and operational harm to Complainant. ONE made clear—even as it consistently failed to provide guaranteed cargo space allocations—that Complainant would need to agree to pay higher rates than those specified in the ONE Service

Contract for even the chance (again, with no guarantee) of getting cargo space, and in quantities that would still fail to meet ONE's service commitments.

110. For example, on June 16, 2021, Complainant wrote to ONE: "We just approved space on the ONE Loader through an NVO. So, there is still space out there. I am not sure how the space can be sold. We need space for 100 FEUs." In response, on June 17, 2021, ONE stated: "Per our call, I mentioned I had asked marketing again for a Premium+ contract. [...] However, it must be clear, it does not come with guaranteed space. What it will do though, is allow for adhoc requests and help when extra-loader space may become available. The adhoc process will be the same for the Premium+ contracts as they are now; we will still have to submit for approvals."

111. By September 16, 2021, Complainant was still grappling with ONE's failures to release space even under the unreasonable Premium+ contracts, despite Complainant adhering to booking plans. Complainant wrote: "Please keep us informed on why the ad-hoc/premium space was not released to ACS when our origin teams placed the bookings according to the plan." "Please follow up with your teams to ensure the space is released. Previously, we have had issues with ONE releasing space on the premium contracts."

112. As a result, during the term of the ONE Service Contract, Complainant paid ONE premium rates totaling approximately \$1.1 million for cargo shipped during that period, which could have been avoided had ONE simply fulfilled its existing service commitments to Complainant in compliance with the ONE Service Contract.

Effect on Complainant

113. The Service Contract Respondents' imposition of PSS and other improper premium rates and surcharges was unjust and unreasonable, especially in light of the already very high prices agreed upon in the underlying Service Contracts. In particular, when entering into the Service

Contracts in early 2021, the Service Contract Respondents agreed to their respective service commitments with full knowledge of the overall freight environment over a year into the COVID-19 pandemic, and nonetheless immediately reneged on their respective service commitments, negotiated at rates that were already substantially higher than pre-pandemic, to extract exorbitant additional fees.

114. As alleged above, Complainant paid an amount up to or exceeding approximately \$5.5 million in premium rates, PSS, and other surcharges to Service Contract Respondents MSC, ONE, and HMM for cargo shipped during the terms of the MSC, ONE, and HMM Service Contracts, which could have been avoided had MSC, ONE, and HMM simply fulfilled their respective service commitments to Complainant in compliance with their respective existing Service Contracts.

115. These surcharges, which were levied on top of already elevated contract prices, have been subject to regulatory scrutiny. On August 4, 2021, the FMC launched an inquiry into the timing and legality of ocean carrier practices with respect to surcharges. FMC Chairman Daniel B. Maffei noted that cargo rates were already at “record highs”, and that “[n]ow, we hear increasing reports of ocean carriers assessing new additional fees, such as ‘congestion surcharges’, with little notice or explanation.”

116. Chairman Maffei observed, “It seems to me that [congestion-related] factors would already have been included into the record high rates charged by the carriers. As Chairman, I want to know the carriers’ justifications for additional fees and I strongly support close scrutiny by the FMC’s Bureau of Enforcement aimed at stopping any instance where these add-on fees may not fully comply with the law or regulation.”

The Demurrage and Detention Charges

117. From 2021 through 2022, Complainant paid, in connection with cargo carried by Respondents, amounts up to or exceeding approximately \$19.1 million in demurrage Charges and approximately \$12.3 million in detention Charges, totaling approximately \$31.4 million.

118. As alleged herein, the Charges, or a substantial majority thereof, were unjustly and unreasonably assessed, and were due to either the acts or omissions of Respondents or other circumstances over which Complainant and its agents and service providers had no control.

119. Accordingly, Complainant seeks reparations with respect to the Charges addressed herein under 46 U.S.C. Sections 41301 *et seq.*⁵

120. Complainant requests that the FMC promptly investigate the Charges pursuant to 46 U.S.C. Section 41301(c), specifically regarding their compliance with 46 U.S.C. Sections 41102(c) and 41104(a) and their reasonableness pursuant to 46 C.F.R. Section 545.5 and the FMC's Interpretive Rule.⁶

⁵ The Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272 (2022) ("OSRA 2022"), included a new procedure for complaints about charges assessed by common carriers, now codified at 46 U.S.C. Section 41310, which, *inter alia*, requires the common carrier to "bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to" 46 C.F.R. Section 545.5. 46 U.S.C. § 41310(b)(2). Complainant respectfully submits that nothing in the text of OSRA 2022 purports to limit the availability of this *procedure*, including the aforementioned burden allocation, as long as a complainant's *substantive* claims regarding the charges at issue are based entirely on pre-existing (i.e., pre-OSRA 2022) Shipping Act provisions and associated regulations, and do not invoke any of OSRA's new *substantive* provisions or protections with respect to such charges. For that reason, Complainant believes that the *procedure* set forth in 46 U.S.C. Section 41310 with respect to the Charges complained of herein should be available to Complainant notwithstanding the FMC's July 14, 2022 "Interim Procedures for Submitting 'Charge Complaints' under 46 U.S.C. § 41310", which suggested that filing parties must "[c]onfirm[] that the disputed charge[s] [were] incurred on or after the enactment of P.L. 117-146" (i.e., June 16, 2022), and the FMC's additional Guidance that "Charge Complaint procedures do not apply to . . . Charges invoiced or assessed prior to the effective date of OSRA on June 16, 2022." Accordingly, Complainant respectfully requests that the Presiding Officer issue an Order that the procedure set forth in 46 U.S.C. Section 41310 is available to Complainant with respect to all of the Charges challenged herein (including those assessed prior to the enactment of OSRA 2022) and afford Complainant an opportunity to bifurcate its claims brought herein to proceed separately pursuant to 46 U.S.C. Section 41310 with respect to the Charges.

⁶ Complainant recognizes that, with respect to charges incurred prior to June 16, 2022, the FMC's determinations will be based on 46 U.S.C. Sections 41104(a) and 41102, and 46 C.F.R. Section 545.5, as they existed at the time.

121. Complainant requests that the FMC promptly order Respondents pursuant to 46 U.S.C. Section 41305 to pay Complainant reparations for the unlawful conduct alleged herein for all Charges paid by Complainant that the FMC determines did not comply with 46 U.S.C. 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 or the FMC's Interpretive Rule.

122. Upon information and belief, the Charges assessed by Respondents and paid by Complainant were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of Complainant and its agents and service providers, such as congestion at ports, lack of appointments to pick up or return containers, and shortage of equipment such as chassis.

123. Complainant's records also reflect the astronomical scale of the demurrage Charges for idling containers (charges that would in many instances run into multiple tens of thousands of dollars). These exorbitant demurrage fees were imposed even though Complainant's drayage providers were working to secure appointments as soon as possible and despite market conditions outside of Complainant's control that created long dwell times.

124. Demurrage Charges were also imposed on Complainant due to Respondents' own actions or inaction, including Respondents' delay in alerting Complainant of container releases.

125. The demurrage Charges imposed by Respondents on Complainant also cannot be justified as any kind of incentive for Complainant to expeditiously move its cargo. Complainant made repeated and proactive efforts to work with its providers to move containers and stock empty shelves—a situation that was widely reported in the news media.

126. In addition to the broad effects of port congestion cited above, Complainant's communications at the time also reflect that Respondents frequently imposed detention Charges

despite diligent efforts by Complainant and its drayage providers to move and return containers or when the causes for the detention and demurrage were outside of the control of Complainant.

MSC

127. MSC's own Byzantine internal procedures regarding detention and demurrage frequently led Complainant to pay charges or be unable to pick up containers, thereby compounding charges.

128. On August 27, 2021, Complainant desperately sought help from MSC to simply make payments, noting that invoices had been compounding as a result of MSC's inaction, "We have been waiting a month for [MSC's] response, what is the update? We need better service for this integration, this has taken too long and Crate has been suffering paying all the invoices manually and now we are being threatened by MSC with a credit lock...We need [MSC] to step in and get this finally working. We have been waiting for months for this and [MSC] has not responded in a month to [the] last request. This is completely unacceptable."

129. In September, 2021, Complainant noted that "MSC [wa]s not sending the additional invoices with the extra charges until they [we]re past due", leading to further compounded invoices.

130. For instance, on January 19, 2022, Complainant again wrote to MSC asking "Why are we still on credit hold? Payment was sent last week. This is causing us extra charges again because of MSC!... I have sent you a few emails asking about this and no answer. Why?"

131. Furthermore, it was a common experience for Complainant to be unable to return empties, often incurring fees as a result.

132. MSC's wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$17,420,000 in improper demurrage Charges and up to or exceeding approximately \$8,560,000 in improper detention Charges.

ONE

133. ONE's consistent failures to facilitate the return of empty containers and address operational issues led to undue detention and demurrage Charges being wrongfully imposed on Complainant.

134. Further compounding these issues, on January 11, 2022, ONE's origin office rolled bookings to subsequent vessels, citing operational delays and imposing detention Charges. Complainant requested an investigation into these Charges and urged ONE to waive them, as the delays were caused by ONE's own inefficiencies: "Thanks. Please note that ONE origin is advising that they need to roll these bookings to the next vessel and will charge for detention. Can you please also investigate this and advise if ONE can waive the detention fees? Thanks."

135. Demurrage Charges were also imposed on Complainant due to ONE's own actions or inaction, including its delay in alerting Complainant of containers being released. For instance, in an email from October 15, 2021, Complainant questioned ONE's inaction: "Why are all of these ONE containers still sitting at G3? This is completely out of line that ONE has done nothing to move these over. What is the plan? We better not be paying storage for these, this will get escalated in Crate to C levels if it has to because this is just a joke. How can these sit for 2 and 3 months with no activity."

136. ONE's wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$850,000 in improper demurrage Charges and up to or exceeding approximately \$770,000 in improper detention Charges.

Evergreen

137. Evergreen's operational failures and refusal to address systemic issues led to unjust and excessive detention and demurrage Charges imposed on Complainant. For example, in April 2022, Evergreen's containers were grounded at an offsite HIT yard in San Pedro, making it impossible for Complainant to empty those containers and expedite their return due to logistical constraints: "These containers are at our offsite yard called the HIT yard in San Pedro The containers are grounded there. They are under 6 different codes. We cannot cherry pick the containers at the HIT yard. We are working to clear the oldest pile, this is where your containers are." Additionally, in an email dated May 20, 2021, Evergreen highlighted further systemic industry issues impacting Complainant's ability to comply with return requirements: "There is acute shortage of drivers to pick up loaded containers at Savannah port. The drayage rates have increased by 10 to 25% in the past 3 weeks. We are trying to reach out to our ocean carriers to see if the loaded container which was picked up at Savannah Port can return the empties in the Charlotte area to optimize the time on the road."

138. These challenges are further reflected in an Evergreen email dated November 16, 2021, which acknowledged the severe congestion at the Port of Los Angeles: "We are aware of the notification [in reference to the extreme congestion at the Port of Los Angeles]. Thank you for sharing. Though we are pushing all our dray carriers to pick up the containers, we are told that there is an acute shortage of chassis at the terminal which makes it almost impossible to pick up the containers. We have more dray carriers now than we have containers but chassis shortage is not helping. Is there anything Evergreen can do to help with the chassis?"

139. On February 18, 2022, Complainant explicitly requested a "stop clock agreement when your terminal is not able to accept the empty return", but Evergreen stated that it "cannot

and will not stop the clock”, which, combined with Evergreen’s delayed responses to Complainant’s inquiries, unfairly placed the burden of Evergreen’s operational problems on Complainant.

140. Additionally, on September 20, 2021, Complainant protested against a five-digit demurrage charge caused by Evergreen’s failure to address a persistent chassis shortage that left containers sitting idle for over 30 days: “Crate is not going to be responsible for the demurrage right? I do [not] want to hear the chassis shortage excuse again, it’s been over 30 days. The demurrage is going to be over \$10,000. Marketplace has to accept this and pay for it. Truckers can not just let containers sit and pick them up when they want.”

141. Evergreen’s wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$270,000 in improper demurrage Charges and up to or exceeding approximately \$1,650,000 in improper detention Charges.

HMM

142. HMM’s operational shortcomings and lack of support also led to unjustified Charges, placing an undue financial burden on Complainant. For example, Complainant highlighted the egregious situation where its containers were held “hostage” for over a month, questioning HMM’s willingness to resolve such issues: “Hyundai has to do something to help. Our containers were held hostage for over a month and now we have to pay storage? Are these the types of partners Hyundai accepts and works with?”

143. Earlier, on May 5, 2021, Complainant raised urgent concerns about multiple containers destined for Los Angeles being placed on hold without justification, pointing out that this problem seemed specific to HMM and demanding immediate resolution to prevent further delays: “To follow up, we are being advised that this is now an issue with two more of our

containers going to L.A. I have added these to the list below. We need urgent assistance on this matter as we cannot have all of our HMM containers for Los Angeles go on hold. What is the sudden cause of this issue? Our LSP should have credit and charges should not be a problem. Why are we seeing this only for our Los Angeles containers? This seems to be an issue on Hyundai's end that we need resolved today."

144. On December 15, 2021, Complainant detailed the ongoing logistical challenges: "Truck power, lack of chassis, terminal congestion and no empty return locations are all reasons why freight is still sitting there. We are pushing all 7 of our truckers every day to get as much as they can, believe me we want our freight:)."

145. HMM's wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$134,000 in improper demurrage Charges and up to or exceeding approximately \$146,000 in improper detention Charges.

Maersk

146. Maersk's logistical and communication failures unfairly burdened Complainant with detention and demurrage Charges for delays that Complainant did not cause. In an email dated January 6, 2021, Complainant's logistics' provider EDray stated: "[T]his all started because the information on Hamburg SUDs site did not make sense. One container showed in NY and the other in Freeport BSFPO." This discrepancy in the reported location of the containers caused confusion and likely delayed further steps in container processing. Similarly, the December 7, 2020, email explains: "It looks like the issue is with [] underlying carrier (Maersk), KMI went to go pick up the containers from the container depot today, however there is no local pick up location assigned and the feeder status has not opened up the empty stack for container pickups."

147. Complainant repeatedly faced communication and operational issues with Maersk, as illustrated by several email exchanges. One of the primary issues was Maersk's failure to provide comprehensive daily updates on container movements, despite multiple requests: "I am sounding like a broken record. I have asked 7th+ times that we need a comprehensive in and out daily update."

148. Operational inefficiencies became especially disruptive when Maersk's side loader at the HIT yard broke down, causing significant delays. Maersk informed Complainant that "the side loader is down. ETA to start running again is unknown at the moment (mechanic has been dispatched)." The situation worsened, prompting Maersk to announce that they "will need to close the offsite today and not reopen until 2nd shift tomorrow (at the earliest)." These delays occurred at a critical time for Complainant, as it had planned to deplete container inventories: "This incident or the timing of this incident is coming at the worst time for us. We are at our slowest time at the terminal and have made the plans to totally deplete containers at CNBL and CRKR. This is going to impact us big time. Can you move another side loader from another location to help us out in the meantime?" Despite the urgency, Maersk replied with vague assurances, such as, "We are working on alternatives to reduce the downtime. I will update everyone if anything changes."

149. In April 2022, Complainant encountered an issue where their containers were mis-coded, preventing the release of those containers: "[O]ur dray carriers are telling us that all CRKR containers are being blocked by containers under CRKR#2, they are not able to release any CRKR containers at this moment." The email further emphasized the urgency of resolving the matter, as the contract with the HIT yard was set to expire on May 3, 2022, with a combined volume agreement of 300 spots. The mismanagement of container placement seemed to originate from the HIT yard's internal practices, as Complainant remarked, "Crate will not be responsible if HIT yard

has combined the piles. That should never have happened as we have containers from early February stuck in the CRKR file.” When Maersk proposed moving the containers to resolve the blockage, they added that fees would apply for the additional handling. This elicited a frustrated response from Complainant: “I am sorry to say, HIT yard created the mess and Crate has to pay. Sounds wonderful. I don’t want to dispute the touch fees to get this going. Pls go ahead.” This exchange is merely one example of how Maersk made Complainant bear the financial and logistical consequences of delays outside of Complainant’s control.

150. Maersk’s wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$260,000 in improper detention Charges.

CMA

151. CMA’s persistent delays, lack of responsiveness, and operational failures resulted in excessive and unjust Charges being imposed on Complainant.

152. On May 6, 2021, Complainant had challenged an “outrageous” charge for two containers, repeatedly requesting a copy of the arrival notice and invoice, which CMA failed to provide, instead sending unresponsive statements that ignored Complainant’s inquiries: “This charge is outrageous for 2 containers, Pete - I have asked for this before and no one has responded. They only keep sending this statement. Do they understand what an arrival notice is?”

153. On May 26, 2022, Complainant urgently requested resolution of a credit hold caused by CMA’s slow processing, noting that storage charges were accruing daily due to their inaction, despite payments being made or scheduled: “We need this addressed NOW. We are on gold because of this and are accruing more storage because CMA is taking their time. We have paid some and have a payment date for the rest, what is the issue? We need to be released now from credit hold.”

154. By July 21, 2022, Complainant flagged CMA's misleading and incomplete records regarding empty return options, highlighting that CMA claimed the terminal was accessible when, in fact, APM had no appointments available: "See below from CMA. Look what they are writing. I highlighted the dates they had as unable to offer empty return options. Notice the 28th is not on there. They are counting today as a day when they were not locked out, but APM had no appointments to take them. This is what needs to be fought with CMA. Not only are they causing detention but also tens of thousands of dollars in demurrage."

155. CMA's actions not only caused significant detention fees but also tens of thousands of dollars in demurrage, unfairly burdening Complainant due to CMA's operational inefficiencies and failure to address these issues in a timely manner.

156. CMA's wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$249,000 in improper demurrage Charges and up to or exceeding approximately \$208,000 in improper detention Charges.

Apex Shipping

157. Apex often failed to provide adequate support to Complainant regarding the return of an empty container. For example, in September 2021, Complainant explicitly stated that "this booking is with Apex, and Apex booked with Wan Hai as the underlying carrier," emphasizing that Apex, as the booking party, should handle the issue. Instead, Apex responded that Complainant should "contact Wan Hai for return instructions" and deflected the responsibility onto Complainant and its trucker. When Complainant asked for assistance in obtaining an exemption or alternate return site, Apex merely stated that "[t]he trucker should have no problems emailing the carrier, that is what my other truckers do."

158. Apex also charged steep booking cancellation fees when “the vendor applied for EIR before the cutoff date but the underlying carrier locked the system as there was no more equipment available” and the “cancellation was caused by the underlying carrier not releasing equipment and not because the vendor cancelled the booking.”

159. Apex repeatedly failed to communicate effectively with Complainant. For instance, Complainant expressed frustration to Apex regarding a booking several times: “Why weren’t we able to get a container in time to make the booked sailing?” “There should not be any equipment issues in SAV. We need a container dropped ASAP. We have been waiting too long for this container.” Despite this, the container was not secured, and inaction and bad communication from Apex allowed the situation to persist: “The DC stages all of this freight, so continuing to hold it is causing problems.”

160. Apex’s wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$160,000 in improper demurrage Charges and up to or exceeding approximately \$570,000 in improper detention Charges.

CU Lines

161. CU Lines is directly responsible for the accumulation of Charges due to its failure to provide adequate systems and support for the timely return of empty containers. For example, on January 6, 2022, CU Lines’ website was reported to be malfunctioning, hindering the confirmation of container returns, as carriers awaited in-gate receipts to verify returns: “It doesn’t look like Culines website is updating properly. I am still waiting on in-gate receipts from my carriers to officially confirm ours have been returned.”

162. Earlier, on December 28, 2021, dray carriers were unable to store empty containers in their yards due to extended delays of 10 to 20 days, forcing them to request CU Lines’ immediate

intervention to stop the clock on per diem Charges and cover chassis rental costs: “We need your immediate intervention with the CU line to take back the empties. We are sitting on empties averaging to 10 to 20 days. Our dray carriers have no room to store these in their yard. The carrier has to stop the clock on per diem and should be paying for the chassis rental if they don’t have a yard to accept the empties.”

163. On numerous occasions, CU Lines imposed Charges on Complainant despite the lack of return appointments being outside of Complainant’s control. For example, one email stated: “China United Lines (CUL) will not have a return location for December 30, 2021. No other location is available today. CUL is working with WBCT for empty return opportunity next week. We will notify you once the confirm schedule is available.” Similarly, an email dated December 17, 2021, explained: “LBCT wasn’t accept[ing] CUL containers yesterday... LB terminals hasn’t chassis inventory, due to this issue port appts are constantly changed. Please note that we haven’t been able to return below empties due to lack of slots on terminals for return for CULINES equipment, please find attached email that we sent to SSL in case of per diems.”

164. CU Lines’ wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$140,000 in improper detention Charges.

COSCO

165. Like CU Lines, COSCO was responsible for a proportionally smaller group of improper Charges than other Respondents. Nonetheless, Complainant suffered financial and operational burden as a result of miscommunication between COSCO and its intermediaries, as Complainant stated: “Honestly this should be between DHL and the ocean carrier [COSCO]. DHL should get these billed [] directly or pay them and then work with the carrier on the refund. We have 14 free days and the charge is \$50 per day from day 15 on for all of freight from any origin

to any destination. My trucker has struggled to get timely responses so far and receive threats from the ocean carriers if they do not pay. They should not be held responsible for these invoices if they are wrong. Please get this fixed asap and find a better procedure because my trucker is always in the middle of these conversations.”

166. In another email dated August 2020, drayage provider West End Express “disput[ed] per diem invoice PDUYK0012474 due to incorrect rate” and asked DHL to “confirm that you are paying this invoice direct to Cosco.” However, in January 2021, as they did not hear back from DHL for 6 months, West End Express stated: “We received a suspension notice from Cosco. I requested a response from you in August and received nothing. This is called negligence. I have to chase you all the time. If we pay Cosco you will be billed with an administrative fee of \$250. An immediate response is required.” DHL said that they were looking into it, and West End Express emphasized, “What do you mean looking into it? It should’ve been looked into in August. We are being threatened to be shut-out on the 21st. We need a solution by EOB today.” Issues regarding the per diem rate and the lack of timely response from DHL and COSCO added financial burden to Complainant as West End wrote in another message, “Customers please note: Any per diem disputes not resolved within 10 business days will result in billing to customer.”

167. COSCO’s wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$17,000 in improper detention Charges.

Wan Hai

168. Despite Complainant’s efforts to comply with return requirements, Wan Hai consistently failed to provide adequate return locations or alternatives, leaving Complainant with limited options and forcing it to incur avoidable penalties.

169. On September 13, 2021, Wan Hai admitted: “We do not have a return location in the LA/LB area at this time. PCT is the only terminal accepting WHL empties, and they require them to be on WCCP chassis, or you can utilize dual transactions if possible.” The issue persisted, as highlighted in a September 21, 2021, email: “Our trucker, CPG, is trying to return container WHSU4041257, but they can’t get an appointment at the terminal. Please contact Wan Hai and ask for an exemption in this case to return the container. Alternatively, can we get another site assigned to return it?” Similarly, on December 15, 2021, Wan Hai was urged to provide additional options: “Please support providing empty exemptions/alternative return locations for below empties. They were out of WBCT, but WBCT is not accepting them.”

170. By December 16, 2021, Wan Hai acknowledged ongoing challenges with terminal operations for empty equipment returns. Many terminals were accepting empties only via dual transactions with appointments required. Seattle and Oakland had no available return locations at the time, though some terminals were expected to reopen shortly. Wan Hai recommended maximizing dual transactions, either with Wan Hai imports or imports from other carriers, to facilitate returns. However, these recommendations failed to address the systemic delays and restrictions that left Complainant unable to avoid detention and demurrage Charges despite its best efforts.

171. Wan Hai’s wrongful imposition of the Charges directly injured Complainant, in amounts up to or exceeding approximately \$12,000 in improper detention Charges.

* * *

172. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC’s Fact Finding Investigation 29, “the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an enforceable

principle that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended.”

173. As illustrated in the FMC’s Interpretive Rule, “the purpose of demurrage and detention are to *incentivize cargo movement*,” and therefore the FMC “will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity” (internal quotation marks omitted).

174. As alleged herein, the Respondents’ assessment of the Charges, or a substantial majority thereof, and the acts or omissions of the Respondents that led to the assessment of such Charges were incapable of incentivizing cargo movement and therefore unreasonable.

175. Upon information and belief, the Charges imposed on Complainant did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive—but profitable for the Respondents—penalty on Complainant for circumstances over which Complainant and its agents and service providers had little to no control, such as congestion at ports, lack of appointments, or shortages of equipment.

176. Moreover, the Charges imposed on Complainant were unreasonable based on the totality of the circumstances, including circumstances caused by factors out of Complainant’s control and by Respondents’ own policies, actions, or inaction.

Respondents’ Refusals to Deal or Negotiate

177. Respondents’ conduct with respect to Complainant as alleged herein, including systematically failing to meet their respective service commitments to Complainant during the terms of their respective Service Contracts, demanding extra-contractual premium contract pricing or PSS and other surcharges, and refusing to accommodate Complainant’s requests for full or

partial refunds of unreasonable demurrage and detention Charges, constituted unlawful refusals to deal or negotiate.

178. Complainant engaged in detailed and ongoing discussions with each of the Service Contract Respondents regarding forecasts breaking down Complainant's anticipated shipping needs under the Service Contracts. However, as alleged above, when Complainant or its agents actually sought to use the space for which Complainant had contracted, Complainant was unable to secure the space at the appropriate prices, if at all, due to Respondents' practices alleged herein of refusing to deal with Complainant pursuant to the Service Contracts in favor of more expensive freight in the form of premium rates, PSS, or other added surcharges, or by selling Complainant's bargained-for space to other shippers who agreed to pay higher rates or surcharges.

179. As alleged herein, Respondents' refusals to deal or meet their service commitments continued throughout the terms of their respective Service Contracts.

Respondents' Practices Enriched Themselves

180. Respondents' practices succeeded in enriching Respondents at Complainant's expense, as shown by the record financial results Respondents reported during the relevant time period.

181. Respondent ONE reported "a record profit of US\$16,756 million" in 2021, an increase of 109% from the previous year" "mainly due to a continued high spot freight market, resulting from tight supply and demand."

182. Although MSC is a private company that does not disclose its operating results to the public, MSC reportedly went on an unprecedented buying spree during the COVID-19 pandemic, suggesting that MSC is drawing on enormous windfall profits to support its acquisition activity. From the second half of 2020 through November 2021, MSC reportedly added

approximately 124 vessels to its fleet, and since then has overtaken Maersk as the world’s largest container line, with liner shipping data source Alphaliner listing MSC as having grown to own a fleet of 574 vessels, with an additional 293 chartered vessels and another 131 vessels on order.

183. In addition, MSC’s financial information was reportedly obtained by the Italian newspaper *Il Messaggero*, purportedly showing total 2022 revenues of €86.4 billion (approximately \$91.1 billion)—an increase from approximately \$69 billion in revenues in 2021 and approximately \$29 billion in revenues in 2020—and net profits in 2022 of €36.2 billion (approximately \$38.4 billion). These reported financials corroborate MSC’s booming profits during the pandemic, as does MSC’s reported €63 billion (approximately \$68.7 billion) in cash reserves even after spending on increasing its fleet size.

184. Respondent HMM “reported record profits for 2021 more than offsetting nearly a decade of losses.” In reviewing its 2021 performance, HMM boasted that it “accomplished new records in company’s financial history”, with a year-over-year increase of 115.1% for revenue, 652.2% for operating income, and **4,205.3% for profit**. For the year 2022, HMM again broke the record and created the “best annual results,” with a year-over-year increase of 34.7% for revenue, 34.9% for operating income, and **89.0% for profit**. Its container shipping business was doing particularly well “due to higher long-term freight contract rates.”

185. As stated in Evergreen’s financial results presentation for its 2021 fiscal year, due to conditions such as “port congestion, space supply and effective fleet space [being] reduced” there was an “increased risk of supply chain disruption leading to manufacturers becom[ing] even more eager to replenish inventory, resulting in non-stop market demand” leading to the record profits achieved during a global epidemic. Evergreen gained immense wealth in 2021 and 2022

while simultaneously injuring Complainant, and other shippers, through the conduct alleged herein.

186. Respondent CMA “recorded excellent results in 2021” as “2021 shipping revenue was up 88.5% compared with 2020 and reached USD 45.3 billion.” For the year 2022, Respondent again “achieved exceptional, historic results” as shipping industry had “an exceptional year despite a slowdown in global trade in the final quarter.”

187. Upon information and belief, Respondent Maersk also profited greatly from the conduct alleged herein. Respondent stated in its 2021 Annual Report that it had “delivered all time high financial results in Ocean, Logistics & Services and Terminals”, with revenue “up 55%, EBITDA almost tripled, and *EBIT . . . up almost five times*” (emphasis added). Revenue from its Ocean business was \$61.787 billion, compared to \$39.740 billion in 2020, “mainly driven by higher freight rates in Ocean, volume increases and increases and acquisitions in Logistics & Services and higher global demand and increased storage income in Terminals.” Maersk’s 2022 Annual Report similarly touted its “record 2022 results across ocean, logistics and terminals”, with revenue increasing by nearly \$20 billion (up by more than 30% from 2021’s all-time high results) and “Ocean deliver[ing] the strongest result on record”.

188. Respondent COSCO reported revenues “representing an increase of [] 94.85% as compared to last year” in its 2021 Annual Report. In 2022, COSCO achieved significant financial improvements compared to 2021. Revenues increased from \$51.7 billion to \$58.1 billion, reflecting a growth of 12.4%. Profit for the period saw an even greater rise, growing from \$16.1 billion to \$19.5 billion, an impressive 21.1% increase. Similarly, EBITDA expanded substantially from \$22.4 billion to \$28.4 billion, a growth of 26.8%.

189. Upon information and belief, Respondent Wan Hai also profited greatly from the conduct alleged herein. Wan Hai's annual report disclosed that "Wan Hai performed brilliantly" and "grasped the market trends, promptly adjusted sailing routes and redeployed ships and containers, and transformed the crisis of pandemic into opportunities for Wan Hai Lines to expand its services, *thus creating a new-high for profitability in 2021.*" In 2022, "Wan Hai still achieved great profitability performance," seeing a 13.55% increase in consolidated annual operating income compared to 2021.

Complainant's Injuries

190. As alleged herein, Respondents' behavior has caused significant harm to Complainant in numerous ways, such as producing delays in freight transportation, appropriating scarce resources for ocean freight expenses, causing uncertainty and scarcity within the business, and disrupting Complainant's ability to operate, and resulting in injuries, including lost profits, in an amount to be determined at trial.

191. The Service Contract Respondents' shortfalls in honoring their respective service commitments under their respective Service Contracts forced Complainant to secure space on the open market at high prices, resulting in excess costs up to or exceeding approximately \$30 million during the terms of those Service Contracts.

192. The Service Contract Respondents' wrongful imposition of extracontractual surcharges such as PSS and premium contract rates on top of the increased rates that Complainant had already negotiated with them caused Complainant to overpay for the carriage that it did receive from the Service Contract Respondents in amounts up to or exceeding approximately \$5.5 million during the terms of those Service Contracts.

193. Respondents' wrongful imposition of the Charges directly injured Complainant in amounts up to or exceeding approximately \$19.1 million in improper demurrage Charges and up to or exceeding approximately \$12.3 million in improper detention Charges.

194. As the FMC's Chief Administrative Law Judge noted in the *MCS Industries* case, abuses like those alleged herein are matters of "national importance." Abusive, unjust, and unreasonable practices by major international ocean carriers, such as the conduct alleged herein, are likely to wield outsized influence over general practices in the industry. If not corrected, Respondents' unlawful practices may become industry standard, sending a message to all global container lines that it is acceptable to ignore service contracts and coerce surcharges from customers as a precondition to carrying previously contracted cargo, and impose punitive detention and demurrage charges upon shippers because of delays and conditions outside of shippers' control.

VI. CAUSES OF ACTION

COUNT I : VIOLATION OF 46 U.S.C. § 41102(c)

AGAINST THE SERVICE CONTRACT RESPONDENTS

195. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

196. The Service Contract Respondents' practices alleged herein of systematically failing to meet their respective service commitments to Complainant and, upon information and belief, other shippers, preferring higher priced carriage of other shippers' cargo, seeking to coerce Complainant and, upon information and belief, other shippers, to pay PSS and other surcharges in order to obtain previously contracted cargo space, as well as Service Contract Respondents' efforts to coerce amendments to the Service Contracts or premium contracts or rates and bad faith denial

of their respective service commitments to Complainant, constituted failures by the Service Contract Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

COUNT II: VIOLATION OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5

AGAINST ALL RESPONDENTS

197. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

198. Respondents' assessment of the Charges, and the alleged acts or omissions of Respondents that led to the assessment of such Charges, constituted failures by Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

199. Furthermore, Respondents' practices and actions related to the assessment of demurrage and detention Charges under bills of lading with Complainant are inconsistent with or do not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations), in violation of 46 U.S.C. Section 41104(a)(14).

COUNT III: VIOLATION OF 46 U.S.C. § 41104(a)(2)

AGAINST THE SERVICE CONTRACT RESPONDENTS

200. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

201. The Service Contract Respondents' practices alleged herein of systematically failing to meet their respective service commitments to Complainant, preferring higher priced carriage of other shippers' cargo, seeking to coerce Complainant to pay PSS and other surcharges in order to obtain previously contracted cargo space, as well as Service Contract Respondents' efforts to coerce amendments to the Service Contracts or premium contracts or rates and bad faith denial of their respective service commitments to Complainant, constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondents' Service Contracts with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

COUNT IV: VIOLATION OF 46 U.S.C. § 41104(a)(10)

AGAINST ALL RESPONDENTS

202. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

203. The Service Contract Respondents' practices alleged herein of systematically failing to meet their respective service commitments to Complainant, preferring higher priced carriage of other shippers' cargo, seeking to coerce Complainant to pay PSS and other surcharges in order to obtain previously contracted cargo space, as well as Service Contract Respondents' efforts to coerce amendments to the Service Contracts or premium contracts or rates, bad faith denial of their respective service commitments to Complainant, Respondents' assessment of the Charges, and the alleged acts or omissions of Respondents that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10).

VII. CAUSATION

204. The Service Contract Respondents' practices of systematically failing to meet their respective service commitments to Complainant have directly and proximately injured Complainant by forcing Complainant to make alternate transportation arrangements, at substantially higher prices, for cargo that was supposed to be carried by Respondents pursuant to the terms of the Service Contracts or forgo shipping such cargo altogether.

205. The Service Contract Respondents' actions in coercing Complainant to pay PSS and other surcharges and to enter into premium rate contracts as a precondition to procure the cargo space for which Complainant had already contracted in the Service Contracts have directly and proximately injured Complainant by forcing Complainant to pay a premium for cargo that was supposed to be carried by the Service Contract Respondents pursuant to the terms of their respective Service Contracts or forgo shipping such cargo altogether.

206. Respondents' assessment of the Charges has directly and proximately injured Complainant by forcing Complainant to pay unjust and unreasonable Charges.

207. Respondents' conduct has caused Complainant to incur other injuries, including delays, failures to receive time-sensitive merchandise, reduced inventory for sale, unnecessary expenses, and lost profits, as well as attorneys' fees and expenses relating to litigation.

VIII. REPARATIONS SOUGHT

208. Respondents' misconduct has injured Complainant in several ways.

209. During the terms of Complainant's Service Contracts with the Service Contract Respondents, the Service Contract Respondents' misconduct alleged herein caused them to carry only a total of 15,414 FEUs of the 19,293-FEU combined MQCs of Complainant's cargo for which they contracted in their respective Service Contracts with Complainant, resulting in a combined

3,879-FEU shortfall for which Complainant had to make alternate transportation arrangements at higher prices or forgo shipping such cargo altogether, resulting in excess freight charges paid, lost profits, and/or other business damage.

210. The damage done to Complainant's business as a result of the Service Contract Respondents' misconduct alleged herein was extreme and debilitating. The additional incremental cost of replacing Respondents' combined 3,879-FEU shortfall during the terms of their respective Service Contracts totaled up to or exceeding approximately \$30,000,000 more than what Complainant would have paid had the Service Contract Respondents simply honored their service commitments under their respective Service Contracts.

211. In addition, Respondents' misconduct has resulted in lost profits and other business damages to Complainant.

212. As explained by the FMC's Chief Administrative Law Judge in *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG et al.*, FMC Docket No. 21-11, in which another ocean common carrier similarly failed to fulfill its service commitments under a service contract and caused a shortfall of container carriage for the complaining shipper, lost profits can be determined by calculating the average profits per container of the shipper's cargo actually carried during the relevant time period multiplied by the shortfall of containers that the carrier failed to carry. The per-container average profit applicable to Complainant's goods for the relevant time period is a matter of fact to be proven at trial, and at least one methodology of calculating Complainant's lost profits would be to multiply Complainant's average per-container profit by the Service Contract Respondents' combined service commitment shortfall of 3,879 FEUs.

213. As alleged herein, the Service Contract Respondents' conduct injured Complainant in several ways, including by creating delays in moving freight, by forcing Complainant to allocate scarce resources to ocean freight costs, by creating uncertainty and scarcity within the business, and by interfering with Complainant's ability to operate, and resulting in injuries, including lost profits, in an amount to be determined at trial.

214. In many instances, Complainant was unable to mitigate the Service Contract Respondents' failure to honor their respective service commitments to Complainant by securing higher-priced freight on the open market, and sustained lost profits as a result of the reduction of imported cargo.

215. During the terms of the Service Contracts, as a result of the Service Contract Respondents' imposition of unjust and unreasonable PSS, premium pricing, and other charges alleged herein, Complainant was forced to pay Respondents in amounts up to or exceeding approximately \$5.5 million more than the rates that Complainant would have had paid had Respondents charged Complainant the rates negotiated and agreed in their respective Service Contracts.

216. During 2021 through 2022, Complainant paid amounts up to or exceeding approximately \$19.1 million in demurrage charges and up to or exceeding approximately \$12.3 million in detention charges imposed by Respondents, totaling approximately \$31.4 million in Charges that were unjustly and unreasonably assessed, and requests reparations for all such Charges that the FMC determines did not comply with 46 U.S.C. 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 and the FMC's Interpretive Rule.

217. In addition to the injuries stated in the preceding paragraphs, Complainant also suffered other injuries to be calculated at trial.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that the FMC require the Respondents to answer this Complaint pursuant to 46 U.S.C. Section 41301(b) and prays for relief from the FMC as follows:

1. An investigation by the FMC pursuant to 46 U.S.C. Section 41301(c), of the allegations in this Complaint and the Charges' compliance with 46 U.S.C. Sections 41104 and 41102(c) and reasonableness pursuant to 46 C.F.R. Section 545.5;

2. An Order, after due investigation pursuant to 46 U.S.C. Section 41301(c) finding that:

- a. the Service Contract Respondents violated 46 U.S.C. Section 41102(c) by systematically failing to meet their service commitments to Complainant and, upon information and belief, other shippers under service contracts, by preferring higher priced carriage of other shippers' cargo, and by seeking to coerce Complainant and, upon information and belief, other shippers, to pay PSS, premium pricing, and other improper surcharges or enter into premium contracts in order to obtain previously contracted space, in connection with their receipt, handling, storage, and delivery of the property of Complainant;
- b. all Respondents violated 46 U.S.C. Section 41102(c), 46 U.S.C. Section 41104(a)(14), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule by assessing unjust and unreasonable detention and demurrage Charges in connection with their receipt, handling, storage, and delivery of the property of Complainant;
- c. the Service Contract Respondents violated 46 U.S.C. Section 41104(a)(2) by providing service not in accordance with the rules and practices contained in

Respondents' Service Contracts with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC;

- d. the Service Contract Respondents violated 46 U.S.C. Section 41104(a)(10) by systematically failing to meet their respective service commitments to Complainant under the Service Contracts, by preferring higher priced carriage of other shippers' cargo, by seeking to coerce Complainant to pay PSS, premium pricing, and other improper surcharges or enter into premium contracts in order to obtain previously contracted space, and by assessing unjust and unreasonable detention and demurrage Charges in connection with their receipt, handling, storage, and delivery of the property of Complainant; and
- e. all Respondents violated 46 U.S.C. Sections 41104(a)(10) by assessing unjust and unreasonable detention and demurrage Charges.

3. An Order compelling Respondents to cease and desist from violation of the Shipping Act, and to put in place lawful and reasonable practices to preclude Service Contract Respondents from systematically failing to meet their respective service commitments to Complainant and other shippers under their service contracts, coercing Complainant and other shippers to pay PSS, premium rates, and other improper surcharges or enter into premium contracts in order to obtain previously contracted cargo space, or assessing unjust and unreasonable detention and demurrage charges in connection with its receipt, handling, storage, and delivery of the property of Complainant and other shippers;

4. An Order requiring Respondents to pay Complainant reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), Complainant's reasonable attorneys' fees as "the

prevailing party” pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and

5. Such other and further orders or relief as the FMC deems just and proper.

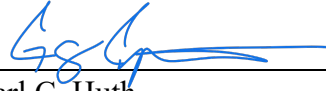
X. REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, DC.

Dated: December 31, 2024

Respectfully submitted,

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Counsel for Euromarket Designs, Inc.

VERIFICATION

I, Jim Stitt, am an authorized signatory of Complainant Euromarket Designs, Inc., 1250 Techny Road, Northbrook, IL 60062, email jstitt@crateandbarrel.com. I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct. Executed on December 31, 2024.

